

AP Photo/MANISH SWARUP



**GODSEND:** Price hike has proved a boon for opposition politicians

6The common man is also paying a higher price now than in 2004 when the UPA Government rode in on the *aam aadmi* (common man) bandwagon. The retail price of milk has jumped from Rs 15 per litre in 2004 to the present Rs 20 per litre and that of groundnut oil has risen from Rs 85 per litre in 2004 to the present Rs 122 per litre.

The other culprits are in the iron-steel category, which saw an inflation rate of 35.2 per cent. In fact, if the iron and steel category is taken out of the inflation basket, the aggregate inflation rate drops all the way to 6.3 per cent.

The worst is yet to come when petrol and diesel prices, which have recently gone up by 11

per cent and 8.5 per cent respectively, are factored in to the price index in the next round of calculations. There is every chance of inflation touching a new high, with petrol and diesel adding to the weight by about 0.3 per cent and LPG cylinder by 0.2-0.3 per cent. Petroleum Secretary M.S. Srinivasan does not rule out even a 0.5-0.6 per cent rise in the inflation rate.

The statistics are dismal and they have begun to visibly impact the day-to-day lives of the common man. Things have come to such a pass for K.L. Thomas, a former bank employee of Idukki district in Kerala, that he now has to stand in a queue before a government provision store where prices are lower than that in the open market. The price of rice has almost doubled from Rs 12 per kg in 2004 to Rs 24 per kg now. Says Thomas, "This commodity alone has led to the doubling of my family budget."

Some like Delhi-based Kalyan Talpatra, a former executive with a pharma company who

## EMI

### AUTO LOAN

**THE INTEREST RATE FOR A THREE-YEAR AUTO LOAN IN 2004 WAS 9.25 PER CENT. IN 2008, IT IS 11.5 PER CENT.**

### HOME LOAN

**THE EMI ON A RS 24-LAKH HOME LOAN FOR 20 YEARS WAS Rs 19,334 IN 2004. IN 2008, THE EMI FOR THE SAME IS RS 24,000.**



**"High inflation presents the Government with a tough balancing act."**

**K.V. KAMATH, PRESIDENT, CII**